

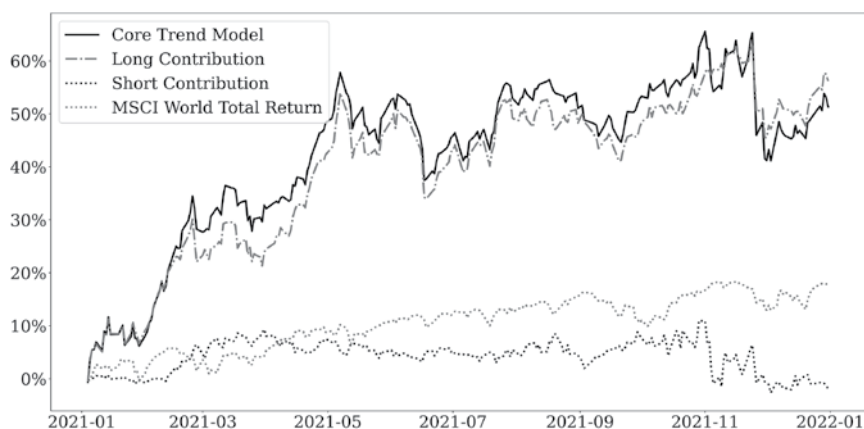


FIGURE 6.117 Strategy performance 2021.

The world equity markets were almost flat during 2021; at least that's how it looks next to our little trend-following strategy. At the end of the year, the MSCI World Total Return has netted about 15%, but we're so far ahead that we stopped caring about the index long ago. After that move up in February, we never look back. The next strong push ended in May and reached 55% plus, and that's when the equity markets were barely scratching 10%. We did see some volatility during the year, including a sharp drop from +65% down to +42%. That's quite a hard decline, 23 percentage points in a couple of weeks. Things like that can really ruin your year, but this time we had quite a substantial buffer built up when it happened. We end up recovering part of that sharp loss and end the year with a very respectable trading gain of 51% (Figure 6.117).

Finally, after six tough years, we prove that our approach still works and that our fees are justified. We were behind the traditional markets for a while but this puts us firmly in the lead again. The hero sector this year was agriculture. This sector was carrying the entire year. It wasn't the only sector that gained, but it gained far more than anything else. The overall year contribution for this sector was 35%, leaving just 16% for the rest to share and 13 of those came from equities, with the rest from non-agricultural (Figure 6.118). The currencies and rates showed a marginal negative contribution.

As for that rather large drop we saw late in the year, that was a combination of sectors. The stock markets fell a bit then, and our long equity index futures lost. At the same time, long positions in metals and energies suffered as well as some short rates (Figures 6.119 and 6.120).